# PSP Projects Ltd

Concall Tracker · Q2 FY2027 (Jul–Sep 2026) · NSE: PSPPROJECT · BSE: 540544 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

## 1 Snapshot

**What it does:** Ahmedabad building contractor. It builds offices, hospitals, temples, housing, riverfronts and government buildings on an EPC basis (engineering, procurement and construction: the whole job from design to hand-over). Since late 2024 the Adani Group co-owns it and is its biggest client, paying on a cost-plus basis (costs reimbursed plus a fixed margin).

| Measure | Value | Plain read |
|---|---|---|
| Market cap / price | ₹3,142 cr / ₹792 | Well off its ₹1,143 high. The market has cooled on it. |
| Q2 FY27 revenue | ₹1,113 cr | Highest quarter ever, up 58% on a year ago. Half-year ₹1,967 cr, up 61%. |
| Q2 EBITDA / margin | ₹69 cr / 6.2% | About six paise of operating profit per rupee of work. Below last year's 7.1% in the same quarter; about 6.7% before an ₹8 cr bad-debt provision. |
| Q2 net profit | ₹30 cr | Up 87%, but still under three paise per rupee of sales. |
| Order book | ₹12,872 cr | Signed work not yet done, about three years of sales. 72% is Adani work. Slightly down from ₹13,245 cr in June because billing outran new wins. |
| P/E / ROCE | ~36x / ~8% | Pricey for a builder earning thin margins and modest returns on capital. |
| Borrowings | ₹279 cr, against ₹933 cr of client advances | Debt is small next to the interest-free money clients have paid upfront. |

## 2 Concall coverage

| Quarter | Call date | Transcript read? |
|---|---|---|
| Q1 FY24 → Q4 FY26 (9 calls) | Jul 2023 – Apr 2026 | Carried forward from the Q1-2027 report |
| Q1 FY27, prior boundary | 30 Jul 2026 | Read in the Q1-2027 report |
| **Q2 FY27** | **2 Nov 2026** (filed 7 Nov) | **Newly deep-read in full ★** |

Only the 2 Nov call was read in full this quarter; the backstory comes from the prior report. The transcript came from the NSE filing (Screener hadn't listed it yet).

## ★ Latest concall highlights — Q2 FY27 (call 2 Nov 2026)

- **Record quarter on the top line.** Revenue ₹1,113 cr (+58%), profit ₹30 cr (+87%). Plain read: the big Adani and government jobs are in full swing; workforce on site has roughly doubled to 23,000–25,000.
- **Margin went sideways, not up.** 6.2% in the quarter, 6.3% for the half. Management's line moved around within the same call: "same range, plus or minus 1%," then "up to 7.5%," then "around 7%" for FY28, then "towards 7.5% to 8%" over time.
- **Orders still slow.** ₹675 cr won in Q2, ₹1,305 cr in the half, against a full-year aim first stated as "₹4,000–5,000 cr" and later in the call as "₹5,000 cr plus." Bid pipeline ₹7,800 cr, about half Adani.
- **Revenue guide muddled but raised in spirit.** The CEO said "approximately 25%" growth; the chairman said 30–35%, then "commit on 30%," then "25% to 30%." Internally they target above ₹4,000 cr for FY27.
- **Old bills:** about ₹20–25 cr of the ~₹40 cr UP hospital money came in, rest expected by the December quarter. The ₹90 cr Surat Diamond Bourse dues: "no commitment from their side."
- **Precast plant** is running at full capacity after finishing the 18-floor Project Ninety structure in 121 days. It speeds jobs up but doesn't lift margins on Adani work.

## Business mix & capacity

**Domestic vs export:** 100% domestic; about 70% of the order book is in Gujarat and 25% in Maharashtra.
**Capacity:** a contractor has no plant utilisation figure; the gauge is order book against sales, about three years. The precast plant is at full capacity (up to about ₹250 cr of output a year); only small capex is planned there.

## ★ Since our last report

Builds on the Q1-2027 report (call 30 Jul 2026). Prior verdicts: trigger **MAYBE**, consistency **NO**.

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Trigger: MAYBE | Adani lifts revenue; margin capped near 7% | Revenue at a record, margin still around 6% | Unchanged |
| Consistency: NO | Margin target keeps falling | Margin and revenue guides shifted several times inside one call | Unchanged |
| Revenue guidance held | FY27 ₹4,400–4,500 cr | Half-year up 61%; internal target above ₹4,000 cr; analyst's ₹4,500 cr called "fair" | On-track |
| Slow new orders | Only ₹630 cr in Q1 | ₹675 cr in Q2; half-year ₹1,305 cr; order book slipped | Slipping |
| Old unpaid bills | UP by Aug–Sep; Surat open | UP about half collected; Surat still no commitment | Partly |

The prior report had no checkpoint box; the stored promises score as: **Checkpoint results: Delivered | Partly** (revenue guidance held; orders and old bills only partly better).
**Verdict change:** both unchanged.

### ★ 3 Earning-trigger thesis

The driver is Adani as co-owner and anchor client: airports, Dharavi rehousing, realty, hospitals, plus Gujarat temple and tourism projects. That's showing up as record billing. The ceiling is the cost-plus deal, which management says works out near 7% operating margin. So profit grows roughly with revenue, no faster, and revenue growth from here depends on new orders, which have been thin for two quarters.

| Trigger | What management said | Evidence so far | Horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Faster execution | Projects moving past structure into finishing; second half always stronger | Revenue +58% in Q2, record | FY27 | Strong | ↑ improving |
| Adani order flow | "₹5,000 cr plus" for the year; right of first refusal in Gujarat and Mumbai; possible third Dharavi job | ₹1,305 cr in H1; book slightly down | 2–3 yrs | Moderate | ↓ weakening |
| Margin recovery | "Around 7%" with upside to 7.5–8% as finishing work ramps | 6.3% in H1, flat on last year | H2 FY27 | Weak | unchanged |
| New markets | Commonwealth Games tenders, tourism, Navi Mumbai hospital, data centres | Talk only | 2+ yrs | Unproven | new |

## 3b Trigger check

| Trigger type | Yes/ No | What was said (date) |
|---|---|---|
| Debt cut | No | Cut ₹110 cr of unused credit limits, but no debt-reduction plan stated. |
| New business | No | Commonwealth and data-centre work mentioned only as possibilities. |
| Margin up | No | Margin flat; "same range" (2 Nov 2026). |
| New management | No | None. |
| New capacity | No | Precast at full capacity, only small capex planned. |
| Big orders | Yes | "Outstanding order book stood at INR12,872 crores... providing a healthy multiyear revenue visibility" (2 Nov 2026). |
| Turnaround | No | Profit recovery not framed as a turnaround this call. |
| Promoter buying | No | None. |

**Single concrete driver:** a three-year order book, mostly Adani airport, Dharavi and realty jobs, is now being billed at a record pace.

## 4 Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY22–FY25 (backstory) | 11–13% "normal" margin | Fell to about 6% | Missed |
| FY25 / FY26 (backstory) | Revenue ~₹2,800 cr / ₹3,000–3,200 cr | Missed / Delivered | Partly |
| Apr 2026 | FY27 margin 8–9% | Cut to 7–8% in Jul; Nov: "around 7%"; H1 6.3% | Missed |
| Apr–Jul 2026 | FY27 revenue ~₹4,500 cr | H1 +61%; on track | On track |
| Apr–Jul 2026 | ₹5,000–6,000 cr orders in FY27 | | Slipping |

| | | | |
|---|---|---|---|
| | | ₹1,305 cr in H1; now "₹4,000–5,000 cr" or "₹5,000 cr plus" | |
| Jul 2026 | UP money by Aug–Sep | About half received, rest by Dec quarter | Partly |

**Narrative drift:** the Adani growth story is steady and revenue is delivering. The numbers around it aren't: this one call gave three versions of the growth guide, two of the order target, and four of the margin outlook. The margin bar has now drifted from 11–13% down to "around 7%." The Surat dispute is no closer.

## 5 Bottom line — two verdicts

### Durable earning trigger? → MAYBE vs last quarter: unchanged

Nothing moved it much. Billing hit a record, which confirms the Adani work is real. But margin didn't lift, orders were slow for a second quarter and the book shrank a little. With cost-plus work capped near 7%, profit only grows as fast as revenue, and revenue needs new orders.

### Management consistent? → NO vs last quarter: unchanged

Revenue delivery is good, but guidance on growth, orders and margin shifted repeatedly within a single call, and the margin target has been reset lower again over the year. The old receivable fights are still being "resolved next quarter."

### ★ 6 Checkpoints for next quarter

- Order wins in the December quarter clearly beat the first-half pace
- Remaining UP hospital dues are collected by December
- Margin moves above the first-half level

Sources: PSP Projects Q2 FY27 earnings-call transcript (call 2 Nov 2026, filed with NSE 7 Nov 2026); prior Q1-2027 concall-tracker report; Screener.in financials as at 7 Nov 2026.